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HEADQUARTERS SIXTH ARMY
OFFICE OF THE COMMANDING GENERAL
PRESIDIO OF SAN FRANCISCO, CALIFORNIA

25 October 1954

Dear Art:

This letter is rather in the nature of an intelligence report and though your specialists in the Orient may be familiar with some of the matter included, I felt that I should send it on to you for what it might be worth.

With Madame Chiang kai-Shek going through San Francisco enroute to Taipeh, the Chinese community stirred themselves, and in view of my own early relationship to China, I was brought into the fringes.

In the first place my old Chinese friend, Ho Shai Lai, in the usual devious Chinese fashion, wrote my wife informing her of Madame Chiang kai-Shek's passage through San Francisco and expressed the hope that she might call on the Madame while she was in the hospital. As we both knew her and as was intended, I visited with her in a social status. Neither of us had seen her for a good many years. Our conversation was mainly concerned with mutual friends, the status of the situation in China as a whole, Chinese people, and the relationship of the Christian religion thereto. She is still a beautiful, fascinating personality, as you well know. Her only approach, however, to an official thought was when the name of John Macdonald came up, and she asked several questions about him which showed an especial interest. Whether it was for personal or for official reasons, I could not determine. The discussion was too general.

Later I attended a reception given by the ChineseConsul here in celebration of the Chinese Double Tenth, and there, much to my surprise, I ran into Mr. James Elder, who is normally not in the Chiang kai-Shek group. I had known him for many years, and known of him many more years. He grew up as a young man with the then called Young Marshal Chang Hsueh Liang and stayed with him through all the vicissitudes

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of the fighting with the early war lords, the Japanese, and later brought the Young Marshal's wife out of China and took her to Los Angeles, where she now lives. I believe that Elder is probably the instrument through which Chang Hsueh Liang's finances are run, and through which the family still exists. I believe, though I couldn't prove it, that Jimmy Elder depends on the Young Marshal's fortune for his own livelihood; but there is more than that involved. I regard them as a sort of Damon and Pythias relationship, and Elder's primary motivation is in behalf of Chang Hsueh Liang and his family, with the Chinese probably in the secondary position.

I have known for many years that Elder has been out with Chiang kai-Shek and the Soong group because of the imprisonment of the Young Marshal during the Communist difficulties before the war. I know that Jimmy has tried to get Chang extricated from Formosa without success for many years. (The shop I used to work for before I went to Korea could give you much more dope on him.)

I was able to get very little from Jimmy Elder during the celebration of the Double Tenth because of much confusion that existed, though he did inform me that he was finding a most interesting relationship growing with the Soong family and that I should hear more of it later. He did have time to inform me that his relationship with the Douglas Aircraft Company was being broken up. This was interesting as I knew he had for a long time been most highly regarded by that company, particularly during the period when China was acquiring a good deal of Douglas products.

A few days ago (15 October) he called me again in a most secret manner to give me special information as to what plane Madame Chiang was leaving on for Formosa. I think he hoped I would show some official or personal interest, although he made no direct request. I did not bite.

Last night he called me again from the city of San Francisco and as he was most anxious to see me, I asked him to come straight out. The evening went in all sorts of directions with a variety of visitors, but before he left, he informed me of several things of interest.

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He feels that he is now in a very strong position with reference to the Soong family, particularly the Madame, due to the fact that he has been able to make some special arrangements for her that no one else seemed to be able to accomplish. Douglas Aircraft helped him here to break precedent with Pan Am which our own Navy or Air Force was unable to do. This, with conversations he has had, has made quite an impression with the Soongs.

He is obviously in a position which excites him to a great extent, principally because it opens a door for him to reopen his efforts to get Chang out of Formosa.

He indicated that Madame Chiang tried to get him to go on the plane with her the night she left here, as a man whom she could depend upon to accomplish a myriad of things she regarded as necessary.

He is in San Francisco today as the result of a very urgent call from the Soong group here, which took him away from several personally important things in Los Angeles, for which reason he feels that something quite serious is afoot in view of what he has learned so far, and about which he has given me no great detail.

He will be in Washington within the next few weeks and will be going to Taipeh for an indefinite stay in December. He has been invited to have Christmas with Chiang kai-Shek and the Madame.

Jimmy informed me that all his information indicates that the trip to the United States for Chiang Ching Kuo was a failure. His inference was that the effort to soften up Chiang toward America was a failure; that Sun Li Jen had been shelved by Chiang and that it is common knowledge that anyone that supports the American viewpoint in Formosa is persona non grata with Chiang Ching Kuo, whose control is almost complete. Elder claims that the only person that can control Chiang Ching Kuo is the Madame, who hates him with a special hatred. Elder claims that Sun should never have been relieved if America had had a proper position in the eyes of the Formosan government.

Elder claims that the danger to Formosa is very considerable, that he always has been suspicious of Chiang, as

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so many of the rest of us have been. It would be a very simple thing for him (Ching Kuo) to turn the whole island back to the Communists. He claims the only thread on which we can lean is the Madame, who can control the Generalissimo and through him Chiang Ching Kuo. Elder insists that the U.S. has not demanded enough of the present regime. We should never let that regime get away with the things it is getting away with.

Elder is one who believes in the ultimate effort of the Asiatic world to overrun the Western Hemisphere -- not in this generation, but ultimately, unless we can change the trend. When I asked him if the top Chinese in Taipeh realized their danger, how close they were to losing their heads, on what a slender thread American aid hung, he grimaced and said, "We cannot give another inch in the Pacific. One iota lost from our present position and it will give tremendous impetus to the already moving steam roller of Asiatic humanity. We must reverse this trend!"

Within all this conversation it was obvious to see that Elder's principal interest was getting to Formosa and gaining the confidence of the Soongs and Chiang, and extricating his friend, his blood brother Chang.

When I asked him how soon he would bring Chang home, he said that would be a long time away, but that the first step would be to get him free and living without physical controls in Taipeh itself.

He was very much exhilerated with his own position in relation to the Soongs and felt the world was opening up for him a new vista of opportunity in the complicated maneuverings of the Chinese world. When I suggested that (1) we must get rid of Chiang Ching Kuo, (2) reestablish Sun Li Jen in a responsible position, (3) determine a definite U. S. policy structure with respect to Formosa within which we can dictate to that government, he agreed very wholeheartedly. It will be awkward going but if he (Elder) could be used as the medium through which these actions were implemented, the chances of success would be good. He already says he sees courses of action through which this could be accomplished without too much loss of Chinese face, always within the curious method of China.

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I have a great deal of confidence in Jimmy Elder. If any group is interested in actions he could take while accomplishing his primary purpose, I feel certain that it would be worth the effort. [This is a devious world we live in, isn't it?

Warm good wishes.]

Faithfully,

Bill

W. G. WYMAN
Lieutenant General, U. S. Army
Commanding

Didn't realize I was getting into such a hot spot!

Major General Arthur G. Trudeau
Assistant Chief of Staff, G2
Department of the Army
Washington 25, D. C.

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